NARSEE MONJEE INSTITUTE OF MANAGEMENT STUDIES
MPSTME
LIBRARY
DEEMED UNIVERSITY

SVKM'S NMIMS
MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT& ENGINEERING
Academic Year: 2022-2023

Program: B Tech/MBA Tech Stream : (CE/CS) Year: I__ Semester: _II_____
Subject: Management Accounting for Engineers Time: 3 hrs. (2:00pm to 5:00pm)
Date: 28 / 06 / 23 . No. of Pages: 04
Marks: 100 Marks

Re-Examination

Instructions: Candidates should read carefully the instructions printed on the question paper and on the cover of the Answer Book, which is provided for their use.

1) Question No. _1___ is compulsory.
2) Out of remaining questions, attempt any __4___ questions.
3) In all ___5_ questions to be attempted.
4) All questions carry equal marks.
5) Answer to each new question to be started on a fresh page.
6) Figures in brackets on the right hand side indicate full marks.
7) Assume Suitable data if necessary.

Q-1		Answer briefly:	20
CO- 1; SO- ; BL- Remember	a	Explain any five differences between Financial Accounting & Management Accounting.	5
CO-4 ; SO- ; BL- Evaluate	b	The total sales of a product are Rs. 2,50,000 and the fixed cost is Rs. 40,000 during the year 2022. If the product's variable cost and selling price per unit are Rs.20 and Rs.25 respectively, find out the P/V Ratio, BEP and Margin of Safety.	5
CO-2 ; SO- ; BL- Evaluate	c	The following information is available in respect of material X: Normal usage (per week) 60 nos. Maximum usage (per week) 80 nos. Minimum usage (per week) 30 nos. Reorder quantity 400 nos. Reorder period 4 to 6 weeks Calculate: (a) Re-order level (c) Maximum level (b) Minimum level (d) Average stock level	5
CO-2 ; SO- ; BL- Understand	d	Explain any five benefits of good inventory management system.	5

<table>
<tr>
<td>Q-2
CO-2; SO-;
BL- Evaluate</td>
<td>a</td>
<td>From the books of Accounts of M/S ABC Ltd. the following data has been extracted for the year ending 31st March, 2022. You are required to prepare a Cost Sheet showing various elements of cost and calculate the Profit.
Raw material purchased = Rs. 1, 20,000
Paid freight charges = Rs. 10,000
Wages paid to workers = Rs. 35,000
Direct chargeable expenses = Rs. 25,000
Factory Overheads = 20% of Prime Cost
General and administrative expenses = 4% of Factory Cost
Selling and distribution expenses = 5% of Cost of Production
Profit 20% on Sales.
Opening and Closing Stock balances of different items are given below:
<table>
<tr><th></th><th>Opening stock (Rs.)</th><th>Closing stock (Rs.)</th></tr>
<tr><td>Raw material</td><td>15,000</td><td>20,000</td></tr>
<tr><td>Work in progress</td><td>17,500</td><td>24,000</td></tr>
<tr><td>Finished goods</td><td>20,000</td><td>27,500</td></tr>
</table>
</td>
<td>15</td>
</tr>
<tr>
<td>Q-2
CO-2; SO-;
BL- Remember</td>
<td>b</td>
<td>Explain the meaning and difference between relevant cost and irrelevant cost, with an example.</td>
<td>5</td>
</tr>
<tr>
<td>Q-3
CO-4; SO-;
BL- Evaluate</td>
<td>a</td>
<td>Given that Atlas Ltd. is producing a single article and sells at Rs. 30/- each. The Marginal cost of production is Rs. 24/- each and fixed cost are Rs. 11,000 per quarter. Find out the followings from the above information:
1. Profit Volume Ratio
2. Break even sales in value and volume
3. Sales required to earn a profit of Rs. 15,000
4. Profit at sales of R. 5,00,000
5. Margin of safety for (3) and (4) above</td>
<td>15</td>
</tr>
<tr>
<td>Q-3
CO-4 SO-;
BL- Understand</td>
<td>b</td>
<td>Explain any FIVE applications of Marginal Costing for Decision Making purposes.</td>
<td>5</td>
</tr>
<tr>
<td>Q-4
CO- 5; SO-;
BL-Apply</td>
<td>a</td>
<td>
<table>
<tr><th>Particulars</th><th>Product X (per unit)</th><th>Product Y (per unit)</th></tr>
<tr><td>Sales</td><td>250</td><td>200</td></tr>
<tr><td>Material cost</td><td>80</td><td>60</td></tr>
<tr><td>Direct wages</td><td>60</td><td>40</td></tr>
<tr><td>Variable Over heads</td><td>150% of Direct wages</td><td>150% of Direct wages</td></tr>
</table>
Fixed Overheads Rs.75,000
</td>
<td>12</td>
</tr>
</table>

<table>
<tr><td></td><td></td><td>From the following alternatives, find out the most profitable sales mix:

1) 2500 units of X & Y each
2) 4000 units of X and 1000 units of Y
3) Nil units of X and 4000 units of Y</td><td></td></tr>
<tr><td>Q-4
CO- 4; SO-;
BL-Evaluate</td><td>b</td><td>Using the following information, calculate various Labour Variances :

The budgeted labour force for producing product X is :
20 Semi-skilled workers@ 75 paisa per hour for 50 hours
10 Skilled workers @ Rs 1.25 per hour for 50 hours

The actual labour force employed for producing X is :
22 Semi-skilled workers@ 80 paisa per hour for 50 hours
8 Skilled workers @ Rs 1.20 per hour for 50 hours</td><td>8</td></tr>
<tr><td>Q-5
CO-3; SO-;
BL-Apply</td><td>a</td><td>For production of 10,000 units the following are budgeted expenses.

<table><tr><th></th><th>Per Unit
₹</th></tr><tr><td>Direct Materials</td><td>48</td></tr><tr><td>Direct Labour</td><td>24</td></tr><tr><td>Variable Overheads</td><td>20</td></tr><tr><td>Fixed Overheads (₹1,20,000)</td><td>12</td></tr><tr><td>Variable Expenses (Direct)</td><td>4</td></tr><tr><td>Selling Expenses (10% fixed)</td><td>12</td></tr><tr><td>Administration Expenses (₹40,000 fixed)</td><td>4</td></tr><tr><td>Distribution Expenses (20% fixed)</td><td>4</td></tr><tr><td>Total Cost Per Unit</td><td>128</td></tr></table>
Prepare a Flexible Budget for production of 7,000 units and 9,000 units.</td><td>15</td></tr>
<tr><td>Q-5
CO-3; SO-;
BL- Understand</td><td>b</td><td>What is a Cash Budget? Why it is prepared?</td><td>5</td></tr>
<tr><td>Q-6
CO- 3, SO-;
BL- Evaluate</td><td>a</td><td>From the following details, you are required to prepare a Cash Budget for the first quarter (Jan, Feb. & March) of the year.

<table><tr><th>Month</th><th>Sales</th><th>Purchases</th><th>Wages</th></tr><tr><td>November</td><td>1,20,000</td><td>83,000</td><td>9,800</td></tr><tr><td>December</td><td>1,28,000</td><td>66,000</td><td>10,000</td></tr><tr><td>January</td><td>72,000</td><td>62,000</td><td>8,000</td></tr><tr><td>February</td><td>1,16,000</td><td>64,000</td><td>4,000</td></tr><tr><td>March</td><td>84,000</td><td>79,000</td><td>10,400</td></tr></table>Cash balance as on 1st Jan. Rs.17,200.

1. Half of the Sales is Cash Sales and other half is sold on credit to customers which is collected in the next month.
2. Creditors are paid during the month following the month of Purchases.
3. Wages are paid regularly without any delay.</td><td>12</td></tr>
</table>

Q-6 CO-1; SO-; BL- Remember & Understand	b	Write a brief note about various Concepts and Conventions of Accounting.	8
Q-7 CO-4; SO-; BL- Evaluate	a	The standard material cost to produce one unit of Chemical "X " is: 300 kg of Material A @ Rs. 10 per kg 400 kg of Material B @ Rs. 5 per kg 500 kg of Material C @ Rs. 6 per kg During a period, 100 units of Chemical " X" were produced from the usage of: 35 tons of Material A at a cost of Rs. 9,000 per tonne 42 tons of Material B at a cost of Rs. 6,000 per tonne 53 tons of Material C at a cost of Rs. 7,000 per tonne. Calculate Material Cost, Price and Usage Variances.	12
Q-7 CO-2; SO-; BL-Apply	b	ABC Nursing Home purchases 1,600 pairs (units) of surgical gloves each year at a unit cost of Rs. 15. The ordering cost is Rs. 100 per order, and the holding cost per unit per year is computed at Rs. 8. From the given information, calculate the followings: 1. Economic Order Quantity (EOQ) 2. Total Annual Cost 3. No. of orders to be placed in a year 4. Time between orders.	8

THE END